HARAR MICROFINANCE INSTITUTION (HMFI)

Quarterly Risk-Based Assessment Report

Reporting Period: Q1 – Ended March 31, 2026

1. EXECUTIVE SUMMARY

During the first quarter of 2026, HMFI demonstrated overall moderate performance across key risk areas. Strong governance, robust credit processes, and substantial liquidity buffers are offset by critical weaknesses in internal audit, loan concentration, and cash flow forecasting.

The institution maintains strong board oversight (Score 5), well-defined risk appetite and KRIs (Score 5), and a liquidity buffer exceeding NBE requirements by more than 25%. However, the NPL ratio stands at 7.6% against a target of 2%, loan concentration is dangerously high at 40–50%, internal audit and compliance are weak (Score 2), and cash flow forecast accuracy is only 70–80%.

Credit risk is rated Moderate–High, while operational, strategic, and liquidity risks are all rated Moderate. HMFI remains financially stable but faces material risks in credit concentration, internal audit effectiveness, and forecasting accuracy. Prompt corrective actions are essential for regulatory compliance and long-term resilience

2. CREDIT RISK ASSESSMENT

2.1 INHERENT CREDIT RISK

Inherent credit risk measures the raw exposure HMFI faces from its lending activities, independent of management controls. The Board has set quantitative targets for each indicator. The table below summarizes HMFI's actual performance against those targets.

Component	Board Target	Actual Result	Score	Brief Assessment
NPL Ratio	<2%	7.6%	3 (Moderate)	Significantly above target – recovery needed
Loan Concentration	<20% per sector	40–50%	2 (Weak)	Critically high – urgent diversification required
Provisioning Coverage	>100%	>100%	5 (Strong)	Excess reserves – key strength
Collateral Coverage	>50%	40–50%	4 (Good)	Acceptable, slightly below target
Write-offs	<1%	<1%	5 (Strong)	Excellent control – no write-offs
Prudential Compliance	Fully compliant	Minor issues	3 (Moderate)	Occasional breaches – improve monitoring

Below is a detailed analysis of each inherent credit risk component.

2.1.1 Non-Performing Loan (NPL) Ratio

Board Target: Less than 2% of the gross loan portfolio.
Actual Result: Score 3 (Moderate) – 7.6%.

Description: The NPL ratio measures the proportion of loans that are overdue by 90 days or more. It is a primary indicator of portfolio asset quality. A high NPL ratio signals deteriorating borrower repayment capacity and potential future loan losses.

Assessment: HMFI's NPL ratio of 7.6% is nearly four times the Board's acceptable threshold. Although provisioning remains strong, this level of non-performing loans indicates weaknesses in collection effectiveness, early warning systems, or borrower underwriting. If left unaddressed, the ratio could climb further, eroding profitability and requiring additional provisions. **Priority action:** Implement enhanced early delinquency management protocols and strengthen loan recovery strategies. Target NPL reduction to below 5% within 120 days.

2.1.2 Loan Concentration

Board Target: Less than 20% exposure to any single economic sector, geographic region, or borrower group.

Actual Result: Score 2 (Weak) – 40–50% concentration.

Description: Loan concentration refers to the degree to which the loan portfolio is exposed to a limited set of borrowers, sectors, or regions. High concentration creates systemic vulnerability: a downturn in that specific segment can severely impair the entire portfolio.

Assessment: This is a **critical weakness**. HMFI's concentration level of 40–50% far exceeds the Board's limit. The institution is highly exposed to a single sector (or borrower group), which violates prudent diversification principles. A shock to that sector – such as a fall in commodity prices, regulatory change, or climatic event – could lead to cascading defaults. **Urgent action:** Develop and execute a portfolio diversification plan within 90 days, setting binding exposure limits and expanding lending to other sectors and geographies.

2.1.3 Provisioning Coverage Ratio

Board Target: Greater than 100% (excess reserves).
Actual Result: Score 5 (Strong) – Exceeds 100%.

Description: The provisioning coverage ratio compares loan loss provisions (reserves set aside for potential defaults) to the total value of non-performing loans. A ratio above 100% means the institution holds more reserves than the current NPL balance, providing a financial cushion against losses.

Assessment: HMFI maintains a provisioning coverage ratio above 100%, which is a **key strength**. This excess reserve buffer ensures that even if all NPLs were written off, the institution's capital would remain protected. The Board should maintain this conservative provisioning policy. **No immediate action needed** – continue current practice.

2.1.4 Collateral Coverage

Board Target: More than 50% of loans fully collateralized.
Actual Result: Score 4 (Good) – 40–50% coverage.

Description: Collateral coverage measures the extent to which outstanding loans are secured by pledged assets (such as property, equipment, or guarantors). Higher collateral coverage reduces potential loss in the event of borrower default.

Assessment: HMFI's collateral coverage of 40–50% is acceptable and close to the Board's target. However, for higher-risk borrowers or larger exposures, collateral requirements could be strengthened to reduce unsecured risk. **Minor improvement recommended:** Review collateral policy and consider increasing coverage requirements for NPL-prone segments.

2.1.5 Write-offs

Board Target: Less than 1% of the gross loan portfolio annually.

Actual Result: Score 5 (Strong) – Less than 1% (no material write-offs recorded).

Description: Write-offs represent loans that are deemed irrecoverable and removed from the balance sheet, typically after 180 days or more of delinquency. Low write-off rates indicate effective recovery efforts or high-quality underwriting.

Assessment: HMFI has achieved an **excellent** write-off record, with no significant loan write-offs during the period. This demonstrates strong collection discipline and asset preservation. However, note that the high NPL ratio (7.6%) remains on the books – those loans are not yet written off but continue to be provisioned. **Maintain current discipline** and continue proactive recovery efforts to prevent NPLs from becoming write-offs.

2.1.6 Compliance with Prudential Requirements

Board Target: Full compliance with all National Bank of Ethiopia (NBE) regulations and prudential standards. **Actual Result:** Score 3 (Moderate) – Minor non-compliance issues identified.

Description: Prudential requirements are regulatory rules designed to ensure the financial soundness, liquidity, and governance of microfinance institutions. Non-compliance, even minor, exposes HMFI to regulatory sanctions, reputational damage, and potential restrictions on operations.

Assessment: HMFI has experienced occasional minor breaches of prudential requirements, requiring corrective actions. While not yet severe, repeated minor infractions indicate a compliance monitoring gap. **Action required:** Enhance the frequency and depth of compliance reviews; establish a monthly compliance checklist and report to the Board. Aim for zero breaches by year-end.

2.2 CREDIT RISK MANAGEMENT

Credit risk management assesses how effectively HMFI's governance, policies, processes, and controls mitigate the inherent risks. The Board has defined expectations for each management component. The table below summarizes performance.

Component	Board Target	Actual Performance	Score	Brief Assessment
Board Oversight	Active, policy aligned	Fully achieved	5 (Strong)	Key strength – maintain
Risk Appetite & KRIs	Clearly defined with action plans	Fully achieved	5 (Strong)	Excellent framework
Credit Policy Implementation	Fully integrated with risk-based lending	Generally implemented, minor gaps	4 (Good)	Good – close gaps
Approval	Well-defined	Fully achieved	5 (Strong)	Strong and

Component	Board Target	Actual Performance	Score	Brief Assessment
Process	process			consistent
Borrower Screening	Well-defined, robust	Achieved, scoring matrix in progress	5 (Strong)	Strong – complete matrix
Portfolio Diversification	Strict exposure limits	Some limits defined, not fully enforced	3 (Moderate)	Weak link to inherent risk
Portfolio Monitoring & MIS	Real-time granular reports	Real-time possible, reports need improvement	3 (Moderate)	Moderate – enhance dashboards
Corrective Actions	Immediate action	Actions taken but with delays	4 (Good)	Good – reduce response time
Regulatory Compliance	Fully compliant	Occasional breaches	3 (Moderate)	Moderate – improve monitoring
Internal Audit & Compliance	Strong, independent, proactive	Weak, gaps not addressed timely	2 (Weak)	Critical weakness

Below is a detailed analysis of each credit risk management component.

2.2.1 Board Oversight

Board Target: Active oversight, with all credit risk policies fully aligned with strategic objectives and reviewed regularly. **Actual Result:** Score 5 (Strong) – Fully achieved.

Description: Board oversight is the process by which the Board of Directors supervises management, approves policies, and ensures the institution operates safely, effectively, and in compliance with regulations. Effective oversight includes regular review of credit risk reports, challenging management on risk issues, and holding management accountable for risk limits.

Assessment: This is a **key strength** of HMFI. The Board actively reviews credit risk metrics monthly, engages in strategic risk discussions, and ensures policies align with institutional goals. The Board's commitment to governance provides a solid foundation for risk management. **Sustaining this practice is essential** – no immediate action needed.

2.2.2 Risk Appetite & Key Risk Indicators (KRIs)

Board Target: Clearly defined risk appetite statement, quantitative thresholds for all material risks, and KRIs with pre-defined action plans when thresholds are breached.
Actual Result: Score 5 (Strong) – Fully achieved.

Description: Risk appetite defines how much risk HMFI is willing to accept in pursuit of its objectives. Risk limits set the maximum allowable exposure. KRIs are early warning metrics (e.g., NPL ratio, concentration percentage) that trigger management actions when breached.

Assessment: HMFI has a mature and well-documented risk appetite framework. KRIs are actively monitored, and action plans are in place for threshold breaches. This framework enables proactive risk management and alignment with NBE expectations. **Maintain and continue regular updates** as business conditions evolve.

2.2.3 Credit Policy Implementation

Board Target: Credit policies fully integrated with risk-based lending and underwriting standards, with consistent application across all loan products.
Actual Result: Score 4 (Good) – Generally implemented, but some risk control measures are lacking.

Description: Credit policy implementation refers to how well the written policies are executed in daily lending operations. Gaps in implementation can lead to inconsistent underwriting, higher delinquencies, and regulatory exposure.

Assessment: HMFI generally follows its credit policies, but the risk department has identified minor gaps in certain risk control measures (e.g., exceptions to policy without full justification, or incomplete documentation for high-risk loans). **Action**

required: Conduct a policy gap analysis within 60 days and close identified weaknesses through staff training and enhanced approval checklists.

2.2.4 Approval Process for New Credit Exposures

Board Target: Well-defined approval and renewal process for all credit exposures, with clear delegated authority limits and segregation of duties.
Actual Result: Score 5 (Strong) – Fully achieved.

Description: The approval process ensures that loans are reviewed and authorized by appropriate levels of management based on exposure size and risk profile. Strong approval processes prevent unauthorized lending and ensure consistent credit judgment.

Assessment: HMFI has a robust and well-documented approval process. Credit committees function effectively, and delegated authorities are clear. No material weaknesses identified. **Maintain current practice.**

2.2.5 Borrower Screening & Loan Structuring

Board Target: Well-defined borrower screening process, robust eligibility and repayment capacity assessment, and loan structuring that matches cash flow patterns.
Actual Result: Score 5 (Strong) – Achieved, with current efforts to implement a credit risk scoring matrix.

Description: Borrower screening evaluates applicants' creditworthiness, character, capacity, and collateral. Loan structuring aligns repayment schedules with the borrower's cash flow. Effective screening reduces default risk.

Assessment: HMFI's borrower screening and loan structuring are strong. The institution is actively developing a credit risk scoring matrix to further standardize and automate loan decisions – a positive development. **Action:** Complete the scoring matrix rollout and integrate it into the loan origination system within 90 days.

2.2.6 Portfolio Diversification & Exposure Limits

Board Target: Well-diversified portfolio with strict exposure limits enforced for sectors, geographies, and single borrowers.
Actual Result: Score 3 (Moderate) – Some concentration risks exist; exposure limits are defined but not fully enforced.

Description: Portfolio diversification reduces dependence on any single segment. Exposure limits are the binding caps that prevent excessive concentration. Weak enforcement of limits directly leads to the high inherent concentration risk observed in section 2.1.2.

Assessment: This is a **direct driver** of the critical concentration weakness. Although HMFI has defined exposure limits, they are not consistently enforced. The result is a 40–50% concentration that violates the Board's target. **Urgent action:** Management must enforce existing limits immediately, halt further lending to the over-concentrated sector, and actively originate loans in under-represented sectors. Report compliance to the Board monthly.

2.2.7 Portfolio Monitoring & MIS Quality

Board Target: Real-time portfolio monitoring with granular MIS reports that enable early problem detection and informed decision-making. **Actual Result:** Score 3 (Moderate) – Real-time monitoring is possible, but MIS reports lack granularity and depth for detailed analysis.

Description: Portfolio monitoring tracks loan performance (e.g., delinquency, prepayment, concentration changes). MIS provides the data and reports needed for risk analysis. Weak MIS obscures emerging risks.

Assessment: HMFI has the technical ability to monitor portfolios in real time, but the quality of MIS reports is moderate – they provide summary data rather than drill-down granularity. This limits risk managers' ability to identify specific problem segments. **Action required:** Enhance MIS reporting dashboards to include loan-level details, trend analytics, and customizable alerts for risk triggers. Target completion within 120 days.

2.2.8 Corrective Actions

Board Target: Management takes immediate action to address risk deterioration, including contacting delinquent borrowers, restructuring loans, or initiating recovery proceedings.
Actual Result: Score 4 (Good) – Corrective actions are taken in response to emerging risks, but with some delays.

Description: Corrective actions are the operational responses to risk indicators such as rising NPLs, breached limits, or negative trends. Speed of action is critical to prevent small problems from becoming large losses.

Assessment: HMFI management generally responds appropriately to risk alerts, but delays have been observed – for example, follow-up on first-past-due accounts sometimes exceeds the target of 7 days. **Action required:** Reduce response time for high-risk alerts by establishing automated escalation protocols and assigning clear ownership. Aim for 100% of corrective actions initiated within 48 hours of trigger.

2.2.9 Regulatory Compliance

Board Target: Full compliance with all laws, regulations, and supervisory requirements issued by NBE and other authorities.**Actual Result:** Score 3 (Moderate) – Occasional regulatory breaches requiring corrective actions.

Description: Regulatory compliance ensures that HMFI operates within legal boundaries, avoids sanctions, and maintains its license. Recurring breaches, even minor ones, signal weak compliance systems.

Assessment: HMFI experiences occasional minor breaches (e.g., late reporting, small limit exceedances). While each breach has been corrected, the pattern indicates a need for stronger compliance monitoring. **Action required:** Establish a dedicated compliance function (if not already) or assign clear responsibility with monthly compliance checklists. Report compliance status to the Board quarterly.

2.2.10 Internal Audit & Compliance System

Board Target: Strong internal audit function that is fully independent, with proactive compliance tracking and timely remediation of identified gaps. **Actual Result:** Score 2 (Weak) – Weak internal audit function; compliance gaps are identified but not addressed in a timely manner.

Description: Internal audit independently verifies the effectiveness of internal controls, risk management, and governance processes. A weak audit function undermines the entire control environment because issues are not raised or followed up.

Assessment: This is a **critical weakness** and the lowest score in the report. HMFI's internal audit function lacks independence (potentially reporting to management rather than the Board Audit Committee), has insufficient capacity, and does not track remediation of audit findings effectively. Compliance gaps remain open for extended periods. **Urgent action:** Restructure the internal audit function: report directly to the Board Audit Committee; hire or train qualified auditors; implement a formal audit issue tracking system with deadlines and responsible owners. Complete within 90 days.

CREDIT RISK SUMMARY HMFI's inherent credit risk is **elevated** due to high NPLs (7.6%) and dangerous concentration (40–50%). Credit risk management is **strong in governance** (Board, risk appetite, approval, screening) but **critically weak in internal audit** and **moderate in diversification enforcement and MIS**. Immediate actions required on concentration, NPL recovery, portfolio monitoring, and internal audit.

3. OPERATIONAL RISK ASSESSMENT

3.1 INHERENT OPERATIONAL RISK

Inherent operational risk arises from inadequate or failed internal processes, people, systems, or external events. The table below summarizes HMFI's exposure.

Component	Board Target	Actual Result	Score	Brief Assessment
Internal Controls	Strong, consistent adherence, exceptions rare	Consistently followed, occasional exceptions with approval	4 (Good)	Good – reduce exception frequency
IT Systems	Highly effective, fully integrated	Robust, sufficiently integrated	4 (Good)	Good – plan for scalability
Strategic Initiatives Risk	Minimal risk, proven capacity	Low risk, strong capacity documented	4 (Good)	Good – maintain
Fraud & Operational Loss	Minimal likelihood	Low occurrence, minor vulnerabilities	4 (Good)	Good – maintain vigilance
External Service Providers	High competency & reliability	Reliable, minor concerns quickly addressed	4 (Good)	Good – continue monitoring

Detailed analysis below.

3.1.1 Internal Controls

Board Target: Strong and consistent adherence to all operational, administrative, and accounting controls; documented exceptions are extremely rare and require formal approval.
Actual Result: Score 4 (Good) – Controls consistently followed, exceptions are documented and approved when they occur.

Description: Internal controls are the policies and procedures that ensure operational efficiency, accurate financial reporting, fraud prevention, and regulatory compliance. Strong controls reduce operational risk.

Assessment: HMFI maintains good internal controls. Exceptions are rare and properly documented. However, the frequency of exceptions could be further reduced through continuous staff training and automated controls. **Minor improvement recommended:** Review exception logs quarterly and address root causes.

3.1.2 Information Technology Systems

Board Target: Highly effective IT infrastructure that is fully integrated, scalable, and capable of managing current transaction volumes and operational complexities with ease.
Actual Result: Score 4 (Good) – Robust IT systems, sufficiently integrated, adequately managing current transactions and operations.

Description: IT systems support core banking, accounting, MIS, and customer service. System failures or gaps can disrupt operations and cause losses.

Assessment: HMFI's IT systems are robust and adequately support current operations. However, as the institution grows, scalability and integration with newer analytics tools may become issues. **Action:** Develop an IT roadmap for the next 2–3 years to anticipate growth and regulatory reporting requirements.

3.1.3 Strategic Initiatives Risk

Board Target: Minimal risk from mergers, new business lines, technology rollouts, or major HR expansions; proven capacity to manage such initiatives.

Actual Result: Score 4 (Good) – Low documented potential risk; strong capacity to manage planned initiatives; minor risks recognized and mitigated.

Description: Strategic initiatives can introduce operational disruptions if not managed properly. This includes new products, branches, or system upgrades.

Assessment: HMFI has demonstrated effective project management for past initiatives. Risks are identified and mitigated. **Maintain current approach.**

3.1.4 Fraud & Operational Losses

Board Target: Minimal likelihood of fraud, errors, or operational losses due to highly robust internal controls.

Actual Result: Score 4 (Good) – Low documented occurrence; internal controls effective with minor vulnerabilities; corrective actions timely.

Description: Fraud (internal or external) and operational errors (e.g., data entry mistakes) can cause direct financial loss.

Assessment: HMFI experiences low levels of fraud and operational losses. The control environment is effective, with only minor vulnerabilities. **Maintain** and continue regular fraud awareness training.

3.1.5 External Service Providers

Board Target: Consistently high competency and reliability of external service providers (auditors, IT vendors, outsourced services). **Actual Result:** Score 4 (Good) – Reliable and competent; minor performance concerns are quickly addressed.

Description: Reliance on third parties introduces risks if providers underperform or fail.

Assessment: HMFI's external providers are generally reliable. Any performance issues are resolved promptly. **Maintain** with periodic service level agreement reviews.

3.2 OPERATIONAL RISK MANAGEMENT

Operational risk management assesses governance, compliance, HR, and customer protection. Summary table:

Component	Board Target	Actual Performance	Score	Brief Assessment
Board Oversight & Policies	Comprehensive policies approved	Fully achieved	5 (Strong)	Strong – maintain
Compliance, Monitoring, Internal Controls & Audit	Monthly compliance, aligned with NBE	Weak monitoring, irregular reporting	2 (Weak)	Critical weakness
HR & IT/MIS Management	Strong HR, fully integrated IT	Good HR, minor gaps in turnover prediction	4 (Good)	Good – improve HR analytics
Customer Complaints	Acknowledge 48 hrs, resolve 7 days	Generally effective, acknowledgment 72 hrs	4 (Good)	Good – reduce response time

Detailed analysis below.

3.2.1 Board Oversight & Policies

Board Target: Comprehensive operational risk policies explicitly documented and formally approved by the Board.

Actual Result: Score 5 (Strong) – Fully achieved.

Description: The Board sets the tone for operational risk management by approving policies, defining risk tolerance, and overseeing implementation.

Assessment: Strong. HMFI's Board has approved comprehensive operational risk policies. **Maintain current practice.**

3.2.2 Compliance, Monitoring, Internal Controls & Audit

Board Target: Monthly compliance monitoring explicitly aligned with NBE regulatory frameworks; independent internal audit verification.

Actual Result: Score 2 (Weak) – Weak compliance monitoring; irregular reporting; significant accuracy issues.

Description: This combined area covers ongoing compliance checks, risk monitoring, and the internal audit function. Weakness here directly undermines operational risk control.

Assessment: This is a **critical weakness**, consistent with the credit risk internal audit score (2.2.10). Compliance monitoring is irregular, reports are not timely, and accuracy issues have been noted. The institution lacks a robust compliance calendar and independent verification. **Urgent action:** Establish a dedicated compliance function or assign clear accountability; implement a monthly compliance reporting cycle; ensure internal audit reviews compliance effectiveness. Complete within 90 days.

3.2.3 HR & IT/MIS Management

Board Target: Strong HR system with annual satisfaction surveys and regular performance reviews; fully integrated IT/MIS.
Actual Result: Score 4 (Good) – Good HR system; minor issues in turnover prediction; effective IT/MIS.

Description: Human resource management ensures adequate staffing, training, and performance. IT/MIS supports operations and reporting.

Assessment: HMFI's HR system is effective, but turnover prediction (anticipating resignations) has minor gaps, which could lead to sudden staffing shortages. **Action:** Improve HR analytics to forecast turnover and develop succession plans for key roles.

3.2.4 Customer Complaints & Reputation Management

Board Target: Complaint tracking system; acknowledgment within 48 hours; resolution within 7 days.

Actual Result: Score 4 (Good) – Generally effective; acknowledgment within 72 hours; resolution within target.

Description: Effective complaint handling protects reputation, client trust, and regulatory standing. Delays can escalate disputes.

Assessment: HMFI resolves complaints within the 7-day target, but acknowledgment takes 72 hours instead of the desired 48 hours. **Action:** Reduce acknowledgment time to 48 hours by automating complaint receipt notifications and assigning dedicated staff.

OPERATIONAL RISK SUMMARY Overall operational risk is **moderate**. Board policies and most internal controls are strong. However, **compliance monitoring and internal audit (Score 2)** is a critical weakness that must be addressed urgently. HR and customer complaints are good with minor room for improvement.

4. STRATEGIC RISK ASSESSMENT

4.1 INHERENT STRATEGIC RISK

Inherent strategic risk arises from poor business decisions, misalignment with market conditions, or failure to adapt. Summary table:

Component	Board Target	Actual Result	Score	Brief Assessment
Strategic Alignment	Fully aligned, flexible with regular reviews	Generally aligned, minor adjustments needed	4 (Good)	Good – increase adaptability
Cost & Reversibility	Costs <10% of budget, decisions reversible	Costs 10–15%, mostly reversible	4 (Good)	Good – manageable
Management Competence	Strong qualifications, proven track record	Adequate but gaps in risk analysis depth	3 (Moderate)	Moderate – invest in capacity
MIS for	Monthly	Quarterly,	4 (Good)	Good –

Component	Board Target	Actual Result	Score	Brief Assessment
Strategy	strategic information	minor delays		increase frequency

Detailed analysis below.

4.1.1 Strategic Alignment

Board Target: Initiatives explicitly aligned with mission, vision, and local operational context; strategic goals flexible with regular reviews enabling prompt adaptation. **Actual Result:** Score 4 (Good) – Generally aligned, but less adaptable; minor delays in product adaptation and regulatory responsiveness.

Description: Strategic alignment ensures that HMFI's initiatives respond to market demands, competition, and client needs. Rigid strategies can become obsolete.

Assessment: HMFI's strategy is largely aligned with its mission, but adaptability to rapid market or regulatory changes is moderate. **Action:** Increase the frequency of strategic reviews to quarterly (from semi-annual) to allow faster pivots.

4.1.2 Cost & Reversibility of Strategic Decisions

Board Target: Costs low or manageable (<10% of annual budget); decisions clearly reversible with recoverable investments (e.g., pilot testing, phased rollouts). **Actual Result:** Score 4 (Good) – Costs 10–15% of budget; mostly reversible; partial cost recovery documented.

Description: Strategic initiatives may fail; the cost of failure and ability to reverse decisions determine inherent risk.

Assessment: HMFI's strategic costs are within a manageable range, and most decisions can be reversed without catastrophic loss. **Maintain current practice** – no immediate action.

4.1.3 Management Competence

Board Target: Management has strong professional qualifications, proven track record aligned with strategic objectives, and robust strategic risk management frameworks

(feasibility studies, risk analyses).
Actual Result: Score 3 (Moderate) – Adequate competence but clear gaps in professional qualifications or strategic track record; due diligence processes partially effective; risk analysis depth insufficient.

Description: Management's skills and experience directly affect strategic success. Gaps can lead to poor decisions.

Assessment: While management is adequate, the risk assessment notes gaps in strategic risk analysis depth. Some strategic decisions lack rigorous feasibility studies or pilot evaluations. **Action:** Invest in management training on strategic risk analysis, or recruit a dedicated strategy officer. Implement mandatory feasibility studies for all major strategic initiatives.

4.1.4 MIS for Strategy

Board Target: Highly effective MIS providing comprehensive, timely (monthly or better), and accurate strategic information (market data, competitor analysis, financial forecasting).
Actual Result: Score 4 (Good) – Generally effective, providing quarterly strategic information; minor gaps in completeness or timeliness.

Description: Strategic MIS supports board and management decisions with external and forward-looking data.

Assessment: HMFI produces strategic reports quarterly, but the target is monthly. Some competitor analyses are incomplete. **Action:** Increase strategic MIS reporting to monthly, and ensure competitor and market data are updated regularly.

4.2 STRATEGIC RISK MANAGEMENT

Strategic risk management assesses governance and planning processes. Summary table:

Component	Board Target	Actual Performance	Score	Brief Assessment
Board Oversight	Highly competent, active quarterly	Competent, regular, minor implementation	4 (Good)	Good – clarify directives

Component	Board Target	Actual Performance	Score	Brief Assessment
		gaps		
Strategic Planning	Clearly articulated, annually updated	Fully achieved	5 (Strong)	Strong – maintain
Risk Monitoring	Comprehensive quarterly reviews	Semi-annual, moderate monitoring	4 (Good)	Good – increase to quarterly
MIS Quality	Robust, monthly, audit-verified	Quarterly, minor gaps	4 (Good)	Good – improve timeliness

Detailed analysis below.

4.2.1 Board & Senior Management Oversight (Strategic)

Board Target: Highly competent board with regular active participation in strategy oversight (quarterly); external advice obtained; board directives consistently implemented.
Actual Result: Score 4 (Good) – Competent board, regular participation; minor gaps in implementation clarity of board directives.

Description: The Board sets strategic direction and monitors execution. Clear implementation directives are essential.

Assessment: Good. The Board is engaged, but occasionally directives to management lack specific action owners or deadlines, leading to partial implementation. **Action:** Formalize board meeting minutes with clear action items, responsible persons, and due dates. Track completion at each meeting.

4.2.2 Strategic Planning, Policies & Procedures

Board Target: Clearly articulated and annually updated strategic business plan (mission, vision, SWOT); robust implementation plan with responsibility matrix and action timelines; regularly reviewed by the board.
Actual Result: Score 5 (Strong) – Fully achieved.

Description: Strategic planning translates vision into actionable steps with accountability.

Assessment: Strong. HMFI has a well-structured annual strategic planning process. **Maintain.**

4.2.3 Risk Management, Monitoring & Reporting (Strategic)

Board Target: Comprehensive quarterly risk identification including political risks, mission drift, and competitive threats; robust quarterly reviews of strategic objective implementation.
Actual Result: Score 4 (Good) – Regular semi-annual strategic risk reviews; political risks occasionally discussed; moderate mission drift monitoring.

Description: Strategic risk monitoring tracks external threats (e.g., political change, new competitors) and internal mission alignment.

Assessment: Good but not optimal. Reviews occur semi-annually, not quarterly as targeted. **Action:** Shift to quarterly strategic risk reviews, including a standing agenda item for political and market risks.

4.2.4 MIS Quality & Support for Strategic Decisions

Board Target: Robust MIS providing timely (monthly), accurate strategic data; quarterly internal audit verification.

Actual Result: Score 4 (Good) – MIS provides quarterly strategic information; minor issues in timeliness; semi-annual internal audit verification.

Description: MIS quality directly impacts strategic decision-making. Delays or inaccuracies can lead to poor choices.

Assessment: Good. The main gap is frequency (quarterly vs monthly) and audit verification (semi-annual vs quarterly). **Action:** Align MIS strategic reporting to monthly, and request internal audit to review strategic MIS quality quarterly.

STRATEGIC RISK SUMMARY Strategic risk is **moderate**. Strategic planning and board oversight are strong, but management competence in risk analysis and MIS timeliness need improvement. Increase strategic reviews to quarterly and enhance feasibility study requirements.

5. LIQUIDITY RISK ASSESSMENT

5.1 INHERENT LIQUIDITY RISK

Inherent liquidity risk measures HMFI's exposure to cash shortfalls – the inability to meet obligations as they fall due. Summary table:

Component	Board Target	Actual Result	Score	Brief Assessment
Funding Stability	Deposit volatility <5%	Volatility 5–10%	4 (Good)	Good – minor volatility, proactively managed
Liquidity Buffer	>25% above NBE requirement	Exceeds 25%	5 (Strong)	Strong – key buffer
Cash Flow Forecasting	Accuracy ≥95%	Accuracy 70–80%	2 (Weak)	Critical weakness
ALM Mismatch	Mismatch <10%	Mismatch 20–30%	3 (Moderate)	Moderate – needs reduction

Detailed analysis below.

5.1.1 Funding Stability

Board Target: Deposit volatility consistently below 5% historically; diversified funding sources with no single source >20% of total funding.

Actual Result: Score 4 (Good) – Deposit volatility between 5–10%, proactively managed; good diversification, minor reliance (20–30%) on limited sources.

Description: Funding stability measures how reliably HMFI can access deposits and borrowings. High volatility or concentration increases liquidity risk.

Assessment: HMFI's funding is generally stable. Volatility is within a manageable band, and diversification is good although there is some reliance on a few sources. **Action:** Continue proactive monitoring; further reduce reliance on any single funding source to below 20%.

5.1.2 Liquidity Buffer

Board Target: Liquidity consistently exceeds regulatory requirements by more than 25%; documented buffer management strategies reviewed monthly; emergency liquidity arrangements tested quarterly.
Actual Result: Score 5 (Strong) – Exceeds 25% buffer; monthly reviews; quarterly emergency testing with formal agreements.

Description: The liquidity buffer is the stock of high-quality liquid assets (cash, reserves, unencumbered securities) available to meet unexpected outflows.

Assessment: This is a **key strength**. HMFI maintains a substantial buffer well above NBE requirements. Emergency arrangements are tested regularly. **Maintain** current practices.

5.1.3 Cash Flow Forecasting

Board Target: Forecast accuracy consistently ≥95%; robust forecasting methodology validated quarterly by internal audit; proactive management actions based on forecast outcomes.
Actual Result: Score 2 (Weak) – Frequent inaccuracies (70–80% accuracy); management actions insufficient to address inaccuracies.

Description: Cash flow forecasting predicts future inflows (loan repayments, deposit inflows) and outflows (loan disbursements, withdrawals, expenses). Inaccurate forecasts lead to unexpected liquidity shortages or excess idle cash.

Assessment: This is a **critical weakness**. Forecast accuracy of 70–80% is far below the 95% target. This exposes HMFI to the risk of being unable to meet obligations or, conversely, holding excess low-yield liquidity. **Urgent action:** Overhaul forecasting models – incorporate historical cash flow patterns, seasonality, and scenario analysis. Validate weekly and adjust. Aim for ≥90% accuracy within 90 days.

5.1.4 Asset-Liability Mismatch (ALM)

Board Target: Minimal maturity mismatch (<10% consistently); proactive mismatch management validated by internal audits; immediate corrective actions for any mismatches.
Actual Result: Score 3 (Moderate) – Mismatch of 20–30%; moderate management actions; improvements partially implemented.

Description: ALM mismatch occurs when the maturities of assets (e.g., loans that repay over 12 months) and liabilities (e.g., deposits that can be withdrawn on demand) are not aligned. Large mismatches create refinancing risk.

Assessment: HMFI's mismatch of 20–30% is double the Board's target. While not yet critical, it represents a moderate vulnerability, especially if a large proportion of liabilities are short-term. **Action:** Strengthen ALM practices – conduct monthly gap analyses, use laddering strategies, and extend liability maturities where possible. Target reducing mismatch to <15% within 120 days.

5.2 LIQUIDITY RISK MANAGEMENT

Liquidity risk management assesses governance, policies, monitoring, and MIS for liquidity. Summary table:

Component	Board Target	Actual Performance	Score	Brief Assessment
Board & Senior Management Oversight	Proactive oversight, frequent effective reviews	Good, minor review delays	4 (Good)	Good – formalize monthly schedule
Liquidity Policies, Procedures & Practices	Comprehensive, aligned with strategy, clear tolerance	Clear policies, minor implementation gaps	4 (Good)	Good – clarify steps
Compliance,	Robust	Good, minor gaps	4	Good –

Component	Board Target	Actual Performance	Score	Brief Assessment
Monitoring & MIS	monitoring, accurate timely MIS	in monitoring depth	(Good)	enhance dashboards

Detailed analysis below.

5.2.1 Board & Senior Management Oversight (Liquidity)

Board Target: Proactive oversight; roles clearly defined; explicit liquidity reviews frequent and highly effective.

Actual Result: Score 4 (Good) – Oversight documented; minor gaps (e.g., occasional review delays) promptly corrected.

Description: The Board sets liquidity risk tolerance, reviews liquidity reports, and ensures management takes corrective action when buffers fall below targets.

Assessment: Good. The Board and senior management are engaged, but occasional delays in scheduled liquidity reviews have occurred. **Action:** Formalize a fixed monthly liquidity review calendar and ensure it is never postponed without Board Audit Committee approval.

5.2.2 Liquidity Policies, Procedures & Practices

Board Target: Comprehensive liquidity policies aligned with strategy; explicit risk tolerance; proactive forecasting and mismatch management; consistent validation. **Actual Result:** Score 4 (Good) – Clear policies and procedures; minor gaps in clarity or practical implementation, promptly addressed.

Description: Policies define how liquidity risk is managed – including buffer size, stress testing frequency, emergency borrowing arrangements, and mismatch limits.

Assessment: Good. HMFI's liquidity policies cover the essential elements. Minor implementation gaps (e.g., inconsistent application of mismatch limits) have been identified but corrected. **Action:** Conduct an annual policy review to ensure clarity and practical applicability.

5.2.3 Compliance, Liquidity Monitoring & MIS Quality

Board Target: Robust liquidity monitoring; comprehensive compliance achieved; highly accurate, timely MIS regularly validated by internal audit; integral to risk decisions. **Actual Result:** Score 4 (Good) – Good liquidity monitoring and compliance; MIS reports accurate and timely; minor gaps in monitoring depth or MIS comprehensiveness.

Description: Monitoring ensures real-time visibility of liquidity positions. MIS provides the data for decision-making. Compliance ensures NBE liquidity ratios are met.

Assessment: Good. HMFI meets regulatory liquidity requirements. The main opportunity is to enhance MIS to include real-time dashboards and automated alerts. **Action:** Develop a real-time liquidity dashboard (cash position, forecast vs actual, buffer status) accessible to ALCO and Board.

LIQUIDITY RISK SUMMARY HMFI's inherent liquidity risk is **moderate**. The institution benefits from a strong liquidity buffer (>25% above NBE) and stable funding. However, **cash flow forecasting (Score 2)** is a critical weakness, and ALM mismatch (Score 3) requires attention. Liquidity risk management is **good** overall, with minor gaps in monitoring depth and review frequency. Priority actions: fix forecasting accuracy and reduce ALM mismatch.

6. OVERALL RISK RATING

Risk Area	Rating	Key Drivers
Credit Risk	Moderate–High	NPL 7.6%, Concentration 40–50%, Weak Audit
Operational Risk	Moderate	Weak compliance monitoring & internal audit
Strategic Risk	Moderate	Management competence gaps, MIS timeliness
Liquidity Risk	Moderate	Weak forecasting, moderate ALM mismatch

Overall Institutional Risk Rating: Moderate (The institution is financially stable but has critical control weaknesses that require urgent management attention.)

7. KEY RECOMMENDATIONS (Prioritized)

Priority	Action	Area	Target / Responsible	Due
1 (Urgent)	Restructure internal audit & compliance – ensure independence, capacity, and timely issue remediation	Operational & Credit	Board Audit Committee	90 days
2 (Urgent)	Reduce loan concentration to <25% per sector through active diversification	Credit	Credit Risk Manager	90 days
3 (High)	Improve cash flow forecasting model to achieve ≥90% accuracy	Liquidity	Finance / ALCO	90 days
4 (High)	Strengthen NPL recovery strategies and early delinquency management	Credit	Credit Manager	120 days
5 (Medium)	Enhance portfolio monitoring MIS with real-time PAR and granular dashboards	Credit	MIS & Risk Depts	120 days
6 (Medium)	Reduce ALM mismatch to <15% through laddering and liability management	Liquidity	ALCO	120 days
7 (Medium)	Shift strategic risk reviews to quarterly frequency; improve management competence in risk analysis	Strategic	Board & Management	90 days

8. CONCLUSION

HMFI operates with a **solid foundation in board governance, strategic planning, and liquidity buffers**. However, the assessment reveals three **critical weaknesses** that materially threaten sustainability if not addressed urgently:

1. **Internal audit & compliance (Score 2)** – The weakest area, undermining overall governance and control effectiveness.
2. **Loan concentration (40–50%)** – Creates systemic vulnerability to sector-specific shocks.
3. **Cash flow forecasting (70–80% accuracy)** – Risks unexpected liquidity shortages despite ample buffers.

Addressing these areas will:

- Strengthen financial sustainability and asset quality
- Ensure full regulatory compliance with NBE requirements
- Improve overall institutional resilience and stakeholder confidence

Management is required to present a corrective action plan to the Board within 30 days of this report, with clear milestones and owners for each recommendation.

HARAR MICRO FINANCE CAMEAL BASED QUARTE REPORT

March 31, 2026

1. BALANCE SHEET STRUCTURE AND CAMEL ANALYSIS

1.1. Balance Sheet Structure

a) As at March 31, 2026 the Institution's total assets, total liabilities, total capital, gross loan and total deposits reached Birr **461,664,746.74** Million, Birr **85,941,110.39** **million**, Birr **375,723,636.35** million, Birr **262,534,823.46** million and Birr **46,304,081.5** million, respectively. Total **assets decrease** by **-2.73%** and total **capital** increased on average by **0.99%** **,** respectively over the last quarter. While, total liability decreased by **14.95%**, outstanding loans dcreased by **0.87%** and total deposit increased by **5.86%** respectively, on average over the last quarter.

b) Net loan constituted 56.9 % of the total asset followed by cash on hand & at bank (38.78 %), other asset (1.46%) and net fixed asset (3.15%).

c) As at March 31, 2026, total liability financed 18.61% of total assets. Long-term liabilities constituted 42.06 % of the total liability and Total deposit constitute 54.18 %of total liability and other short term liabilities 6.17% of total liabilities

d) As at March 31, 2026, total capital increased to Birr 375,723,636.35 million (It constituted 81.38% of the Total asset. It composed of paid up capital 302.681 million, donated equity of 29,066,584.9 million, current profit of Birr 3,311,568.85 million, legal reserve of Birr 378,300.00 Thousand and retained earnings of Birr 37,708,357.6 million. paid up capital of Birr 302,681,720 million reviewed registered and authenticated by DARA .but not approved by NBE.

1.2. CAMEL ANALYSIS

1. Capital Adequacy - was rated **_satisfactory as (3.)** due to:

a) Total capital increase/ from Birr 374,855,507.4 million as at December31, 2025, to Birr 375,723,636.35 million as at March 31, 2026, or increase on average by 0.23%, over the last quarter. The guarantee fund transfer to HMFI paid up capital by regional government is reviewed by NBE registered and authenticated by DARA but not yet approved by NBE.

b) Capital Adequacy Ratio was increase from 119.8% as at December 31, 2025 to 120.68% as at March 31, 2026. It was far above the minimum NBE requirement of 12%

c) The current period profit and loss statement 3,311,568 .85million Birr

d) The provision to NPLs ratio was 54.75% as of March 31, 2026.

2. Asset Quality - was rated Acceptable **(2.5)** because of:

a) Gross loan constituted 56.9 % of the total asset. It decrease from Birr 262,893,815.4 million as at December 31, 2025, to Birr 262,534,823.46 million as at March 31, 2026, or increased on average by 0.87% over the last quarters. This was due to the Institution's better performance of loan disbursement when we compare to the previous quarter. but still unsatisfactory performance

b) PAR>90 days ratio increased from 6.5%as at Dec 3, 2025 to 7.6% as at March 31, 2026. The reported PAR>90 days ratio did not reflect the actual NPLs amount of the Institution. This is because significant amount of NPLs of youth loan hide and did not included in the provisioning report.

c) Net fixed asset accounted **for 3.15%** of the total asset as at March 31, 2026 which was almost mid to the moderate range of 5% to 10%. Better performance.

d) The Institution has put in place default loan writ-off policy and procedure manual .but not yet implement write off activities.

3. Management - **was rated ACCEPTABEL** (3.0**)** on the basis of:

a) Management has discussed on the day-to-day business of the HMFI. It has undergone various agendas solve the problems.

b) Regulatory Compliance & Reporting

-HMFI s adherence to financial regulations (e.g., maintaining NPL ratios, capital adequacy) etc

c) Internal audit department provide very weak performance for the internal audit work and also limitations on scope and depth of audit and failed to submit its risk-based audit report to NBE.

d) Training provided adequately and responds to the needs of personnel at various levels of the MFI and have significant impact .Such as IFRS and Credit scoring Model Implementation training's provided.

e) Job descriptions outlining responsibilities for various positions were put in place, have been documented and updated disseminated, and correspond to the actual responsibilities assumed. Moreover, a performance evaluation system was established.

f) The Institution has five-year strategic plan (2023-2027).

g) The Institution is installed and automate its core business system.

Compliance with Laws, Regulations and Enforcement Actions

a) **NBE Directives:**

- Failed to report Internal Audit report and disclose matter of regulatory significance and concern to NBE quarterly basis against Directives No. MFI/31/2020.
- The Appointment of BOD members not yet not approved by NBE against article 4 of NBE Directive No. MFI/21/2022.
- HMFI is working to submit to the National Bank of Ethiopia an external audit report within six months from the end of the Institution financial year against Directive No. MFI/14/2002 sub article .

4. Earnings - was rated _**moderate** **(3)** considering:

a) For the first quarter ended month of March 31, 2026, the Institution registered total income of Birr 33,316,658 million and total expense of Birr 30,005,089.85 million that resulted a net Income of Birr 3,311,568.85 million. The proportional growth of total income was more than total expense which increased by 0. 4%.

b) Interest income constituted only Birr15,559.500 million of the total income which increases on average by 150.8% over the last two quarters. While, interest expense increased on average by 78.57% on average over the last quarters.

c) As at March 31, 2026, **Return on equity**, **Return on asset and Operational efficiency ratios** were **1.2%**, 0.95% and 12.89% respectively. Whereas the HMFI Risk limit is ROE ≥ 16%, ROA ≥ 4% and **OER ≤10%**. Both **ROE** and **ROA** are much more below HMFI Risk limit but, OER ratios relatively better performance.

d) The current period **Net Income** reflects the improvement of financial performance of the institution

5. Liquidity- was rated MODERATE (3) due to:

a) Liquidity ratio was decrease from 395.76% as at December, 31, 2025 to 384.53% as at March, 31, 2026.It shows us there is continuous improvement even though , It is far above the NBE minimum liquidity requirement of 20%. This implies that the Institution still held excess liquid asset in the form of cash.

b) The Institution highly depends on Regional Government long-term guarantee funds. This depicted that the Institution liquidity profile is vulnerable to funding difficulties in the absence of Regional Government Guarantee fund.

c) The Institution does not adopted cash flow projection that outlines source and usage of cash.

d) As at March, 31, 2026 loan to saving ratio was 563.78%, It is declining when we compare with the previous quarter, but It is still very high which is not advisable. It should not exceed 100%

Harar Microfinance Institution S.C
Major Financial Indicator Ratio (In Percent)

No	Ratios	Septem30,-25		Decmber31,-25		March31,-26	
1	**Capital Adequacy**	**HMFI**	**Peer**	**HMFI**	**Peer**	**HMFI**	**Peer**
	Capital to risk weighted Asset	99.64		119.8		120.68	
	Debt to Equity Ratio	32.5		24.4		22.87	
2	**Asset Quality**						
	NPL PAR >90 Days	12.9		6.5		7.6	
	Provision to PAR>90 Days	88.8		59.9		54.75	
3	**Earning**						
	Return on Equity	-5.36		1.32		1.2	
	Return on Asset	-3.9		1.024		0.95	
	Operational Efficiency	11.58		13.9		12.89	
	Operational self-sufficiency ratio	63.94		82.44		131.08	
4	**Liquidity**						
	Liquidity Ratio	417.23		395.76		384.53	
	Loan to Saving ratio	620.3		571.5		563.78	

Harar Microfinance Institution S.C
Capital Adequacy Report

(Amount in Millions of Birr)

Assets	September 30-25			December 30-25			March 31-26		
	Balance	Weight (%)	RWA Amount	Balance	Weight (%)	RWA Amount	Balance	Weight (%)	RWA Amount
	A	B	A*B	C	D	C*D	E	F	E*F
Cash on Hand	1.3	0	0.00	1.690	0	0.00	1.84	0	0.00
Cash at Bank	172.27	0.2	34.453	180.377	0.2	36.075	177.22	0.2	35.444
Investments	0.0	1	0.00	0.02	100%	0.02	00	100%	0
Prepayments	8.13	0	0.00	7.778	0%	0.00	6.706	0%	0
Net outstanding loans	258.042	1	258.042	251.133	100%	251.133	251.579	100%	251.579
Other receivables/Assets	63.249	1	63.249	6.981	100%	6.981	6.742	100%	6.742
Fixed assets (B.V)	13.940	1	13.940	14.885	100%	14.885	14.559	100%	14.559
(TRWA)			369.685			312.689	311.343		
Total Asset			488.051			466.461	461.664		
Total Capital			368.349			374.885	375.723		
Total Liability			119.701			91.605.	85.941		
Total Capital/TRWA (%)			99.64			119.8	120.68		
Total Capital/Total Asset (%)			75.5			80.36	81.4		
DER (%)			32.5			24.4	22.87		

Source: Finance Department

Haar Microfinance Institution S.C
Structure and Trends of NPLs

(Amount in Thousands of Birr)

By Status	September 30, 2025	December 31, 2025	March 31, 2026	Change (%)		
	A	B	C	(B-A)/A	(C-B)/B	Average
Substandard		0.997	3.842		2.85	
Doubtful		5.793	5.551		-0.04	
Loss	33.303	10.649	10.614	-0.68	-0.003	-0.341
Total	33.303	17.150	20.008	-0.48	2.48	-1.48

Source: Operation Department

Harar Microfinance Institution S.C.
Provision Held vs. Required for Loan losses

March 31, 2026 **(In Millions of Birr)**

Loan Status	Provisions		
	Held	Required	Excess/(Shorfall)
	A	B	C= A-B
Substandard	0.858	0.858	-
Doubtful	2.622	2.622	-
Loss	7.474	7.474	0-
Total	10.955	10.955	-

Source: Finance Department

Liquidity Position Report **(Amount in Millions of Birr)**

Description	Sept 30, 2025	December 31, 2025	March31, 2026	% (Change)		
	A	B	C	B-A/A*100	C-B/B*100	Average
Cash on hand	1.3	1.690	1.836			0
Cash at banks	172.27	180.377	177.222	4.7	-1.75	1.48
Total liquid assets	173.55	182.062	179.058	4.9	-1.65	1.62
Total saving/Deposits	41.59	46.004	46.566	10.61	1.22	5.91
Total asset	488.051	466.461	461.664	-4.42	-1.03	-2.72
Total loans	258.042	262.893	262.534	1.88	-0.14	0.87
Liquid assets/deposit	417.23	395.76	384.52	-5.15	-2.84	-3.99
Liquid assets/total assets	35.56	39.03	38.78	9.76	-0.64	4.56
Loan to deposits	620.35	571.5	564.55	-7.87	-1.22	-4.54

Source: Finance Department

March 31, 2026

Total Asset: Birr 461,664, 746.74

Total Liability: Birr 85,941,110.39

Prepared by: Risk department

3.3. Overall Integration Assessment

As at March, 31, 2026, weighted CAMEL Based Assessment Score (CBAS) stood at 2.9 while the Risk Based Assessment Score (RBAS) stood at **2.9** that resulted in a Composite Risk Score (CRS) of **C** As a result ,the Institution is found in **Moderate** integrated risk category with integrated risk rating of .

Table: Overall Assessment Integration Scorings

No	CAMEL		Inherent Risk	
	CAMEL	Weighted Score	Risk	Weighted Score
1	Capital Adequacy	3	Strategic	3.0
2	Asset Quality	2.5	Credit	2.5

3	Management	3.0	Operational	3.0
4	Earnings	3.0	Market	3.0
5	Liquidity	3.0	Liquidity	3.0
Overall Weighted Score (A)		**2.9**		**2.9**
Weight (%) (B)		**0.35**		**0.65**
Integrated Weighted Score (C=A*B-CAMEL + A*B-Risk)		2.9		
Integrated Risk Scoring		**C**		
Integrated Risk Categories		**MODERATE**		

LIQUIDITY & INTEREST RATE STRESS TEST – HMFI

As at March 31, 2026
Prepared by: Risk Department

1. Baseline Liquidity Position

Item	Amount (Birr million)
Cash on hand and at bank	179.06
Reserve account with NBE	0.00
Total customer deposits	46.57
Liquidity ratio (liquid assets / deposits)	384.5%
Loan-to-deposit ratio	563.8%

The liquidity ratio is far above the NBE minimum of 20%. The institution holds nearly four times more cash than deposits. However, the loan-to-deposit ratio is extremely high – lending is funded mainly by regional government guarantee funds, not deposits.

2. Liquidity Stress Scenarios

Three shocks are modeled: a proportional deposit run-off, withdrawal by top 10 depositors, and a recall of government guarantee funds.

2.1 Proportional Deposit Run-off

Deposits fall by 10%, 20% and 30%. Liquid assets decrease by the same absolute amount.

	Pre-shock	10% fall	20% fall	30% fall
Deposit fall (Birr million)	–	4.66	9.31	13.97
Liquid assets after shock	179.06	174.40	169.75	165.09
Deposits after shock	46.57	41.91	37.26	32.60
Liquidity ratio after shock	384.5%	416.1%	455.7%	506.5%

Even after a 30% deposit run, the liquidity ratio remains above 400%. The institution can easily survive this.

2.2 Withdrawal by Top 10 Depositors

The top 10 depositors together hold 2.0 million Birr. We assume they withdraw 10%, 20% and 50% of their balances.

	Pre-shock	10% (0.2m)	20% (0.4m)	50% (1.0m)
Withdrawal amount	–	0.20	0.40	1.00
Liquid assets after shock	179.06	178.86	178.66	178.06
Deposits after shock	46.57	46.37	46.17	45.57
Liquidity ratio after shock	384.5%	385.7%	387.0%	390.9%

Even when the top 10 depositors withdraw half of their money, the liquidity ratio stays above 390%. No risk.

2.3 Recall of Government Guarantee Funds

HMFI's non-deposit liabilities (mostly government guarantee funds) total 39.37 million Birr (total liabilities 85.94m minus deposits 46.57m). We assume a sudden recall of 10%, 20% and 50% of these funds.

	Pre-shock	10% recall	20% recall	50% recall
Amount recalled (Birr million)	–	3.94	7.87	19.69
Liquid assets after recall	179.06	175.12	171.19	159.37
Remaining non-deposit liabilities	39.37	35.43	31.50	19.68
Liquidity ratio (liquid / deposits)	384.5%	376.1%	367.7%	342.3%

Even a 50% recall of government funds would leave liquid assets at 159 million Birr and a liquidity ratio of 342% – still extremely safe. The real risk is not an immediate cash shortage but the possibility that these funds are not renewed when they mature, forcing HMFI to replace them with more expensive or unavailable funding.

3. Interest Rate Risk Stress Test

Baseline data for the quarter:

Item	Amount (Birr)
Interest income from loans	15,559,500
Interest income from investments	98

Item	Amount (Birr)
Interest expense on deposits	1,116,826
Net interest income	14,442,772
Average interest-earning assets (loans)	262,714,319
Net interest margin (annualised)	22.0%

The net interest margin is very high. This gives a large cushion against rate shocks.

3.1 Increase in Deposit Interest Rates

We assume deposit interest expense doubles and then triples. Loan income is held constant (short-term assumption).

	Baseline	Deposit cost x2	Deposit cost x3
Deposit expense (Birr million)	1.117	2.234	3.351
Net interest income (Birr million)	14.443	13.326	12.209
Annualised NIM	22.0%	20.3%	18.6%
Profit after shock (estimated, other expenses unchanged)	3.312m	2.195m	1.078m

Even if deposit costs triple, the institution remains profitable and the NIM stays high. Interest rate risk is low.

3.2 Repriceing Mismatch (Rising Market Rates)

Assume market rates rise by 200 basis points (2%). Half of the loan portfolio reprices within three months; 80% of deposits reprice immediately.

Item	Baseline (annualised)	After 2% rise	Change
Loan interest income	62.2m	64.8m	+2.6m
Deposit interest expense	4.47m	5.22m	+0.75m
Net interest income	57.7m	59.6m	+1.9m

Because the loan book is much larger than deposits, a rise in rates increases net interest income even with imperfect repricing. The institution benefits from rising rates.

4. Summary of Stress Test Results

Scenario	Shock severity	Post-shock ratio / NIM	Impact on profit	Risk level
Deposit run-off 30%	Severe	Liquidity 506%	None	Very low
Top 10 deposit withdrawal 50%	Mild	Liquidity 391%	None	Very low
Government fund recall 50%	Severe	Liquidity 342%	None (liquidity)	Moderate
Deposit cost triples	Severe	NIM 18.6%	PBT falls to	Low

Scenario	Shock severity	Post-shock ratio / NIM	Impact on profit	Risk level
			1.08m	
Rates rise 2%	Moderate	NIM increases	Profit rises	Very low

5. Conclusions and Recommendations

Liquidity risk is very low in terms of cash availability. The institution holds 179 million Birr in cash against only 47 million in deposits. Even severe withdrawal shocks leave ample liquidity.

The true liquidity risk is the potential non-renewal of government guarantee funds. Current cash buffers can absorb a sudden 50% recall, but a prolonged funding drought would require alternative sources.

Interest rate risk is also low. The high net interest margin (22%) and the large loan-to-deposit imbalance make the institution naturally hedged against rising rates.

Recommendations:

- Invest part of the excess cash (e.g., 50 million Birr) in safe, higher-yielding instruments to improve ROE without hurting liquidity.
- Develop a contingency plan for the non-renewal of government funds: diversify funding sources, grow retail deposits, and explore bank borrowing.
- Set a target to reduce the loan-to-deposit ratio below 300% over two years.
- No immediate action is needed on interest rate risk – the current structure is favourable.

CREDIT RISK STRESS TEST – HMFI

As at March 31, 2026
Prepared by: Risk Department
Data source: Actual NPL & provision table + trial balance

1. Baseline Portfolio and Provisioning

Category	Net Exposure (Birr)	Provision Rate (HMFI)	Actual Provision (Birr)
Substandard (91-180 days)	3,433,945	25%	858,486
Doubtful (181-365 days)	5,244,969	50%	2,622,484
Loss (>365 days)	7,474,577	100%	7,474,577
Total NPL net exposure	**16,153,491**		**10,955,547**

Other baseline data:

- Profit before tax (Q1 2026): **3,311,569 Birr**
- Average capital (approx): **375,289,000 Birr**
- Return on capital: 3.311 / 375.289 = **0.88%**

HMFI meets and slightly exceeds NBE minimum requirements, which would be 10,783,851 Birr on net exposure. The current provisions are fully adequate for the existing NPLs.

2. Stress Test Methodology

Three types of shocks are applied to the **net exposure** of each NPL category:

Scenario	Description	Provision rate on shock
A	Increase in substandard net exposure	25% (HMFI rate)
B	Increase in doubtful net exposure	50%
C	Increase in loss net exposure	100%
D	Large borrower default (100% loss, no collateral)	100%

For each shock, we calculate:

- Additional provisions = increase in net exposure × provision rate
- New profit before tax = baseline PBT – additional provisions
- New return on capital = new PBT / average capital

3. Scenario A – Increase in Substandard Net Exposure (25% provision)

Substandard net exposure is increased by 10%, 30%, and 50% from the baseline of 3.434 million Birr.

Shock	Substandard net exposure (Birr m)	Increase (Birr m)	Additional provisions (25%)	New PBT (Birr m)	New ROC
Baseline	3.434	–	–	3.312	0.88%
+10%	3.777	0.343	0.086	3.226	0.86%
+30%	4.464	1.030	0.258	3.054	0.81%

Shock	Substandard net exposure (Birr m)	Increase (Birr m)	Additional provisions (25%)	New PBT (Birr m)	New ROC
+50%	5.151	1.717	0.429	2.883	0.77%

Even a 50% jump in substandard net exposure costs only 0.43 million Birr in extra provisions. Profit remains healthy at 2.88 million Birr. **Risk level: Low.** The 25% provision rate on net exposure is manageable.

4. Scenario B – Increase in Doubtful Net Exposure (50% provision)

Doubtful net exposure is increased by 10%, 30%, and 50% from the baseline of 5.245 million Birr.

Shock	Doubtful net exposure (Birr m)	Increase (Birr m)	Additional provisions (50%)	New PBT (Birr m)	New ROC
Baseline	5.245	–	–	3.312	0.88%
+10%	5.770	0.525	0.262	3.050	0.81%
+30%	6.819	1.574	0.787	2.525	0.67%
+50%	7.868	2.623	1.312	2.000	0.53%

A 50% increase in doubtful net exposure reduces profit by about 40% (from 3.31 to 2.00 million Birr). The institution remains profitable, but the impact is noticeable. **Risk level: Moderate.**

5. Scenario C – Increase in Loss Net Exposure (100% provision)

Loss net exposure is increased by 10%, 30%, and 50% from the baseline of 7.475 million Birr.

Shock	Loss net exposure (Birr m)	Increase (Birr m)	Additional provisions (100%)	New PBT (Birr m)	New ROC
Baseline	7.475	–	–	3.312	0.88%
+10%	8.222	0.747	0.747	2.565	0.68%
+30%	9.717	2.242	2.242	1.070	0.29%
+50%	11.212	3.737	3.737	**-0.425**	**-0.11%**

Loss NPLs are the most dangerous category. A 50% increase in loss net exposure turns the quarterly profit into a small loss (0.43 million Birr). **Risk level: High.** The board should closely monitor the loss category.

6. Scenario D – Large Borrower Default (100% loss, no collateral)

Actual large borrower exposures (gross outstanding) are used. Because collateral data for these specific borrowers is unavailable, the worst-case assumption is that the entire exposure becomes loss and is provisioned at 100%.

Borrower group	Gross exposure (Birr m)	Additional provisions (100%)	New PBT (Birr m)	New ROC
Top 1 borrower	2.100	2.100	1.212	0.32%
Top 5 borrowers	10.100	10.100	-6.788	-1.81%
Top 10 borrowers	17.655	17.655	-14.343	-3.82%
Top 20	22.855	22.855	-19.543	-5.21%

Borrower group	Gross exposure (Birr m)	Additional provisions (100%)	New PBT (Birr m)	New ROC
borrowers				

- Default of the top 1 borrower is survivable – profit remains positive at 1.21 million Birr.
- Default of the top 5 or more would cause a quarterly loss.
- The top 10 exposure is 17.7 million Birr, which is about 6.7% of the loan portfolio. This represents a significant concentration risk.

7. Summary of Credit Stress Scenarios

Scenario	Shock Severity	Additional provisions (Birr m)	PBT after shock (Birr m)	ROC after shock	Risk level
A: Substandard +50%	Mild	0.43	2.88	0.77%	Low
B: Doubtful +50%	Moderate	1.31	2.00	0.53%	Moderate
C: Loss +50%	Severe	3.74	-0.43	-0.11%	High
D: Top 5 borrowers default	Severe	10.10	-6.79	-1.81%	High
D: Top 10 borrowers default	Extreme	17.66	-14.34	-3.82%	Very high

8. Key Findings and Recommendations

Findings:

- Provisioning is adequate. HMFI meets NBE requirements and uses a conservative net-exposure method.
- Substandard shocks are not dangerous. The 25% provision rate on net exposure keeps the impact small.
- Loss NPLs are the main vulnerability. A 50% increase in loss net exposure would cause a quarterly loss.
- Large borrower concentration is a serious risk. Default of the top 5 or more would push the institution into a loss.

Recommendations:

- Continue to apply the net-exposure method – it is prudent and already NBE-compliant.
- Set a board limit for large borrowers (e.g., no single borrower > 5% of capital, which is 18.8 million Birr).
- Run quarterly stress tests that include loss-category and large-default scenarios.
- Consider increasing provisions for the loss category as a buffer – currently at exactly 100%, so any new loss would require immediate additional provisions.